PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
ARUSHA REGION
FORM TWO MOCK EXAMINATION
Code: 062 **BOOK KEEPING**
TIME: 2:30 Hours **May 2024**

INSTRUCTIONS:

1. This paper consists of section A, B, and C with a total of eight (8) questions.
2. Answer all questions.
3. All writing must be in blue or black ink.
4. All answers must be written in the spaces provided.
5. Calculator, cellular phones and any authorized materials are not allowed in the examination room.

SECTION A (15Marks)

Answer **all** questions in this section.

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter in the box provided.

(i) Which of the following is best describes as fixed assets?

A. Expensive items bought for the business.
B. Items having long life and not bought for resale.
C. Items which will not wear out quickly
D. Items bought to be used by the business

(ii) What is a cash receipt?

A. Is a documentary evidence for cash paid.
B. Is a documentary evidence for sale of goods.
C. Is a documentary evidence for cash received.
D. Is a documentary evidence for purchase of goods.

(iii) How does the contra entry occur?

A. When double entry is completed within the cash account.
B. When double entry is completed with the bank account.
C. When the double entry is completed within the same book.
D. When double entry is completed within the same account.

(iv) Which of the following should not be called sales?

A. Sales of unwanted furniture.
B. Sales of goods on credit.
C. Cash sales.
D. Sales of goods

(v) The following are sources of documents.

A. Sales, Credit note, Cheques.
B. Cheques, Invoice, Cheques paid.
C. Invoices, Cash receipt, Debit note.

(vi) In which column do need the discount associated with a creditor?

A. Discount allowed.
B. Discount received
C. Credit bank
D. Payment

(vii) Which of the following is given to traders only?

A. Cash discount
B. Trade discount.
C. Quality discount.
D. Settlement discount.

(viii) Working capital means

A. Total of fixed assets plus current assets.
B. Excess of the current asserts over current liabilities.
C. Amount of capital invested by the proprietor.
D. Capital less drawings.

(ix) The descending order in which current assets should be shown in the balance sheet are;

A. Cash, bank, debtors, and stock.
B. Stock debtors, cash and bank.
C. Stock, debtors, bank, cash.
D. Cash, debtors, bank and stock.

(x) Which of the following statement is incorrect?

A. Assets-capital = liabilities
B. Liabilities + capital =assets
C. Liabilities + asset s=assets
D. Liabilities + assets = capital

2. Match the explanation of accounting concept in column A with the corresponding names in Column B by writing the letter of the correct response beside the item number in box provided.

COLUMN A	**COLUMN B**
(i) The concept which separate business affairs from the business ownership. (ii) The concept which assumes that business operation will continue for long period of time without ceasing. (iii) The concept under which no-current assets are recorded in the books of accounts at the price paid to acquire the asset. (iv) The concept which relates expenses incurred during the accounting period with the revenue recognized during the same period. (v) The concept under which revenue is recognized when its earned and expenses are recognized when then they are incurred.	A. Dual aspect concept. B. Accounting period concept. C. Business entity concept D. Account concept E. Historical cost concept F. Going concern concept. G. Matching concept.

SECTION B (40 Marks)

Attempt **all** questions from this section

3. Juma is a form one at Mtakuja Secondary school whoever she is in dilemma to go science or studying book keeping. Briefly elaborate to her on how book keeping would contribute in her with relevant example.
4. Briefly explain any five reasons why people return goods to their suppliers.

5. Indicate the following whether nominal, Real or personal.

S/No.	Name of account	Classification of Account
1.	Cash account	……...
2.	Boneli account	……...
3.	Capital account	……...
4.	Computer account	…….....
5.	Sales account	……
6.	Carriage account	……
7.	Wages account	……
8.	Genesi's account	……
9.	Machine account	……
10.	Shuayb account	……

6. Financial information are very important in any business are co-parties of the business might need it. Give out any five (5) five parties that might find financial information useful.

SECTION C (45 Marks)

Answer all questions on this section.

7. From the following information of Mzamza shopping centre, prepare the Bank and Cash Accounts and balance off the accounts at 30th April 2018.

DATE		TZS
1st April	Started business with capital in cash	200,000
2nd April	Paid rent by cash.	46,000
3rd April	Adolf lent Mzamza and paid directly into her bank account.	400,000
4th April	Mzamza paid Nyanza by cheque.	172,000
5th April	Cash sales.	38,000
7th April	Pendo paid Mzamza.	68,000
9th April	Mzamza paid Kitambi in cash.	184,000
11th April	Cash sales paid direct into bank.	302,000
15th April	P.Mkota paid Mzamza in cash.	192,000
16th April	Mzamza took out of cash till and paid it into the bank account.	20,000
19th April	Mzamza repaid Kapiga by cheque	100,000
22th April	Cash sales paid direct into the bank.	24,400.
26th April	Paid motor expenses by cheque.	15,000
30th April	Withdrew cash from the bank for business use	40,000
30th April	Paid wages in cash.	64,000

8. Luanda provision store had the following balance on 1st May 2017
   Cash Tshs. 29,000
   Bank Tshs. 654,000

Debtors:		**Creditors**	
K.Ochola	Tsh. 120,000	T.Oloo	Tsh. 60,000
S.Ayako	Tsh. 280,000	Kairo Distributors	Tsh. 440,000
J.Mango	Tsh. 40,000	Makori investment Tshs.	Tshs.100,000

   During the month, the following transactions took place:
   May 2:K. Ochola paid his account by cheque less 2.5% cash discount.
   May 3: Paid Makori Makori investments their account by cheque less 5% discount.
   May 8 Withdrew Tsh. 100,000 cash from the bank for business use.
   May 11: S.Ayako settled her account by cheque less 2.5 cash discount
   May 15: paid wages in cash Tsh.90,000
   May 20: J. mango paid his account in cash deducting 2.5% cash discount
   May 25: Bought furniture and fittings and paid by cheque Tsh. 250,000
   May 28: Cash sales Tshs 250,000
   May 29: Deposited Tsh. 250,000 from the cash till into business bank account
   May 29: Paid T. Oloo in cash, less a cash discount 5%
   May 30:Paid kairo distributors by cheque less 5% cash discount
   Required.
   Open cash book to record the above information.

9. The trial balance below below belongs to Kamwezi traders of Mbeya for the year ended 31st December,2013.

DETAILS	DR	CR
Inventory 1st January, 2013	9,500	
Purchases and sales	11,500	28,500
Capital		44,800
Land and Building	19,000	
Machinery	22,000	
Carriage inwards	1,200	
Carriage outwards	1,700	800
Returns	1000	
Motor vans	16,000	
Debtors	9,000	
Creditors		17,000
Salaries and wages	3000	
Rent and rates	1,500	
Discounts	1,000	3500
Insurance	1,000	
Loan from CRDB		10,000
Drawings	2,2000	
Cash at bank	2,000	
Cash in hand	3,000	
	104,600	**104,600**

   Additional information, inventory 1st December, 2013 was 2000
   Required: Income statement for the year ended 31st December, 2013 and statement for financial position as at 31st December,2013